

Executive Summary

China's financial system is vast and rapidly evolving, now the world's second-largest overall. It is dominated by state banks and underpinned by a trio of key regulators and market bodies. The **People's Bank of China (PBoC)** sets monetary policy and oversees the payment system, SAFE manages foreign exchange (with ~\$3.2 trillion reserves), and a new **National Financial Regulatory Administration (NFRA)** (established 2023) now consolidates banking and insurance oversight (absorbing the former CBIRC) [14†L67-L74] [55†L22-L27]. The **China Securities Regulatory Commission (CSRC)** regulates capital markets, while the **NDRC** handles macro policy. Major market operators include the Shanghai and Shenzhen Stock Exchanges, the China Foreign Exchange Trade System (CFETS, running the interbank markets), and the China Central Depository & Clearing Company (CCDC, for bond clearing). Large state-owned institutions (the "Big Four" banks – ICBC, CCB, ABC, BOC – plus major commercial banks and policy banks like CDB) dominate banking assets (~RMB 480 trillion, ~US\$70 trillion, end-2025 [55†L22-L27]). Non-bank entities (trust companies, insurers, asset managers) have grown, and "shadow-banking" – notably wealth-management products (WMPs) and trust loans – remains sizable.

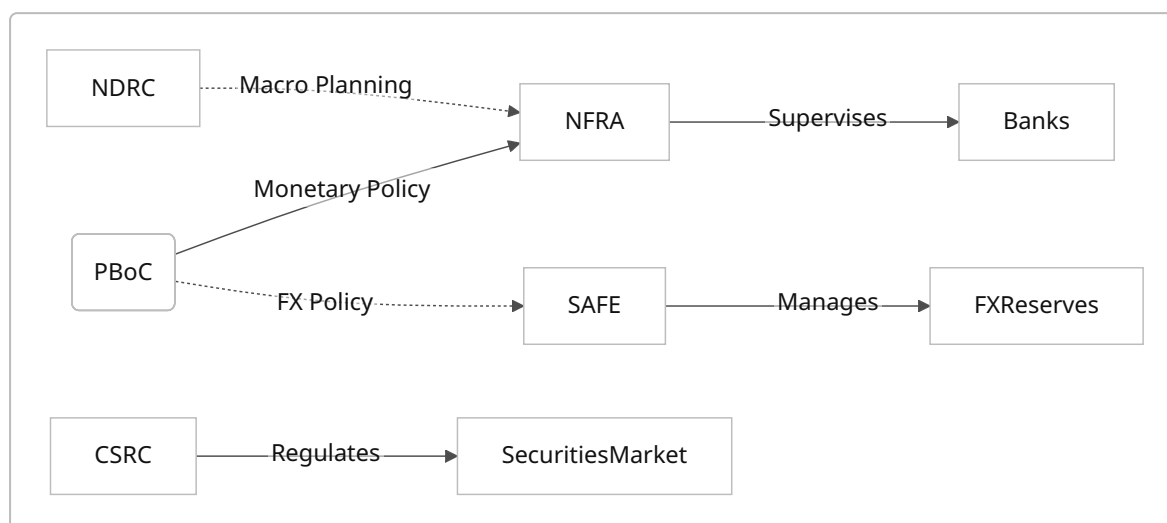
China's markets cover: an enormous **onshore bond market** (>RMB 200 trillion outstanding, second globally [44†L808-L814]), an **equity market** (5,500 A-share listings, RMB 110 trillion cap [44†L808-L814]), robust **interbank** (short-term) and **money markets** (daily repo volumes often in the trillions of yuan), and large **derivatives** (stock-index futures, commodity futures, FX swaps). A-share trading is highly liquid (turnover ~RMB 178 trillion in 2023) with 210 million retail investors [31†L170-L177]. Key cross-border programs – *Stock Connect* (Shanghai/HK 2014; Shenzhen/HK 2016) and *Bond Connect* (2017) – plus QFII/RQFII liberalization, have opened onshore securities to foreigners [44†L828-L835]. The legal framework includes new Securities and Banking Laws, tightening compliance; capital controls remain strict (SAFE-managed), though gradually relaxed for inflows (e.g. RMB internationalization).

Recent reforms (2015–2026) have aimed to rebalance and open markets: examples include interest-rate liberalization, a registration-based IPO system, the STAR tech board (2019), fintech regulation (post-2020), and most recently the NFRA's creation (2023) to centralize oversight [14†L67-L74] [44†L818-L826]. Market size has surged: Chinese A-shares and bonds are now the world's 2nd-largest of their kind [44†L808-L814]. **Risks** include high credit leverage (corporate and local-government debt, property sector stresses) and liquidity squeeze points. Regulators emphasize macroprudential tools (e.g. new liquidity backstops for nonbanks) [44†L900-L908]. For foreign investors, access has improved via Connect schemes and quota-free channels, but policy unpredictability and currency controls require caution. Going forward, policy drivers include "high-quality" growth, financial stability, and global integration – suggesting continued market opening (e.g. Bond/Swap Connect, QFII optimization [44†L918-L926]) alongside tighter risk management.

1. Institutional Structure

- **Regulatory authorities:** The system is overseen by a mix of government bodies. The PBoC (central bank) conducts monetary policy and macro supervision. The newly formed **National Financial Regulatory Administration (NFRA)**, a cabinet-level agency created in 2023, merged the former Banking and Insurance Commission and took on certain PBoC/CSRC roles [14†L67-L74]. It now handles day-to-day oversight of banks, insurers and credit cooperatives. The CSRC regulates securities and futures markets. SAFE (a PBoC sub-agency) manages capital controls

and FX reserves. The NDRC (state planner) retains price and macro policymaking functions (e.g. anti-monopoly pricing). In 2017 the Financial Stability and Development Committee (FSDC, State Council level) was also set up for top-level coordination.



- **Market operators:** Major exchanges include the Shanghai and Shenzhen Stock Exchanges (stock and bond trading for A/B shares, corporate bonds, etc.). A Beijing National Equities Exchange (NEEQ/Biotech Innovation Board) operates a small SME market. The China Financial Futures Exchange and commodity exchanges (Shanghai, Zhengzhou, Dalian, Guangzhou) handle derivatives. CFETS runs the interbank market for bonds, FX and money-market trades; the China Central Depository & Clearing (CCDC, under PBoC) clears government bonds and interbank products. Insurance and bond market infrastructure is largely state-run.
- **Banking sector:** Dominated by state-owned giants. The “Big Four” (Industrial & Commercial Bank of China, Agricultural Bank, Bank of China, China Construction Bank) each hold US\$3–4 trillion+ in assets. Other large national/municipal banks (e.g. Bank of Communications, China Merchants Bank) and policy banks (China Development Bank, Export-Import Bank, Agricultural Dev. Bank) are crucial for corporate/state financing. Together, Chinese banks’ total assets reached ~RMB 480 trillion (~US\$70 trillion) by end-2025 【55†L22-L27】. This sector is well-capitalized (CAR ~15.5%) with low reported NPL ratios (~1.5%) 【55†L22-L27】. Large banks hold ~44% of assets 【55†L22-L27】.
- **Non-bank finance:** A broad **shadow-banking** sector operates outside standard banking. Trust companies, finance companies, and wealth management product (WMP) issuers channel credit through trusts, entrusted loans, off-balance WMPs, etc. These nonbanks (~RMB tens of trillions in assets) fund local governments and corporates. Chinese insurers (e.g. PICC, Ping An) also have large asset pools (~RMB 40+ trillion), but are now regulated by NFRA. Major asset managers (sovereign CuBI [Central Huijin], social security fund, large funds like CICC asset management) are increasingly important. *Fintech* giants (Ant Group, Tencent’s WeBank) have introduced new credit products, though have faced recent regulatory scrutiny.

2. Market Segments

- **Interbank market:** The cornerstone of China’s money and bond markets. Banks and financial institutions borrow/lend overnight and conduct repos via CFETS. Yields (e.g. PBOC’s policy

reverse repo) set short-term rates. The interbank bond market (established 1997) now hosts >RMB 200T of debt 【44†L808-L814】 . Liquidity is deep: daily repo turnover often exceeds RMB 10–20T. PBoC liquidity tools (open-market repos, SLF, MLF) operate here.

- **Bond market (onshore):** Includes treasury bonds, policy bank bonds, corporate bonds, and financial bonds. Outstanding volume exceeds RMB 200 trillion 【44†L808-L814】 (2nd largest globally). Both the exchange-traded segment (via SSE/SZSE) and the interbank market (via CCDC) are active. In recent years the government has eased foreign access via the China Interbank Bond Market (CIBM) and *Bond Connect* (launched 2017) 【44†L828-L835】 . By 2025 RMB bonds were included in major global indices (Bloomberg/FTSE/MSCI), attracting over RMB 10 trillion in overseas holdings 【44†L828-L835】 . An offshore bond market (USD and CNH bonds by Chinese issuers) also exists, including “panda bonds” (onshore issuance by foreigners).
- **Equity market:** China has multiple equity classes: **A-shares** (RMB-denominated, Shanghai/SZ main and SME boards), **B-shares** (foreign-currency shares on SH/SZ), **H-shares** (Hong Kong-listed Chinese companies), plus ChiNext and the STAR Market (Science & Technology Innovation Board) for high-tech firms 【44†L818-L826】 . The A-share market capitalization is roughly RMB 110 trillion (as of end-2025) 【44†L808-L814】 , trading volume ~RMB 178 trillion in 2023 【31†L170-L177】 . Retail investors dominate (61% of volume) 【31†L170-L177】 ; institutions (mutual funds, insurers) also grow. Overseas participation has expanded via Stock Connect: Shanghai–HK (2014) and Shenzhen–HK (2016) allow mutual trading quotas 【44†L828-L835】 . A STAR–London (Shanghai–LSE, 2019) link exists for tech stocks, and an upcoming “Beijing–Hong Kong Connect” is planned.
- **Derivatives:** China has active futures markets. Onshore **stock index futures** (e.g. CSI 300) trade on CFFEX and HKEX (Connect). Commodity futures (metals, energy, agriculture) trade on DCE, SHFE, CZCE. Interest-rate and bond futures exist. Local currency FX forwards and NDFs trade offshore. **OTC derivatives** are mostly limited (forward FX, some swaps); clearing is via PBoC/CFETS. Derivative activity has grown with institutional demand.
- **FX market:** Onshore CNY is tightly managed by PBoC via a daily fix (CFETS rate) and limited bands. SAFE and PBoC impose capital controls on both inflows and outflows. Nonetheless, the market has deepened: onshore FX trading now covers 40+ currencies with annual volume ~\$42 trillion 【44†L808-L814】 . An offshore CNH market (HK-centric) allows freer trading, subject to Hong Kong regulations. RMB is not fully convertible for capital account, but programs like the Qualified Domestic Institutional Investor (QDII) and the Belt and Road initiative facilitate some outbound flows.
- **Money market:** Retail and corporate deposits still dominate household savings, but institutions invest heavily in interbank instruments. Banks issue negotiable certificates of deposit (NCDs) traded interbank. The **Call Loan Market** connects banks with surplus funds to those with short-term needs. The PBoC’s Monetary Policy Committees (e.g. repo operations) intervene as needed. The money market is large and largely bank-centric.
- **Wealth management products (WMPs):** Banks and nonbanks issue WMPs to retail/institutional clients, often offering higher yields than deposits and financing loan-like activities. Outstanding WMPs have been estimated in the tens of trillions of RMB. Regulators have cracked down on risks (e.g. requiring net-worth guarantees, transparency) since 2015. The sector has shrunk somewhat, but remains a key shadow-banking channel.

3. Legal and Regulatory Framework

China's financial regulation operates under the principle of **party-state control** with an evolving legal framework. The **Securities Law** (latest revision 2019) enshrined a registration-based IPO system; the **Commercial Banking Law** (amended 2015) tightened risk management; an updated **Insurance Law** and **Trust Law** govern nonbanks. *Macprudential controls* (like LCR, Loan-to-Value) have been phased in. The Communist Party's Central Financial Commission (CFC, revived in 2023) sits atop the system, directing strategy.

Key reforms since 2015 include:

- **2015–2017:** After the 2015–16 stock market turbulence, authorities ramped up supervision. In 2016 QFII/RQFII quotas were liberalized (eventually removed in 2020), and in 2017 *Bond Connect* (HK–China) launched to open the bond market. The Financial Stability and Development Committee (FSDC) began coordinating cross-sector oversight (credit, housing, systemic risk).
- **2018:** Major institutional overhaul: the CBIRC was created by merging banking and insurance regulators [8†L228-L236] . Deposit rate liberalization was announced (capping deposit rates above PBOC benchmark) and gradually implemented. The CSRC launched reforms for mutual-fund industry and tightened regulation of IPOs and disclosures.
- **2019–2020:** The **STAR Market** opened (Shanghai) for tech IPOs under registration rules. RMB internationalization advanced: China eased QFII restrictions, got RMB included in IMF's SDR (2016) and major indices. Cross-border schemes proliferated: in addition to Stock and Bond Connects, *Swap Connect* (FX) and *ETF Connect* between Shanghai–HK are under development.
- **2020–2022:** COVID prompted massive liquidity injections and credit support (targeted relending). Amid global tensions, China accelerated opening up of its markets: MSCI/FTSE announced raising A-share index weights; foreign investors' participation grew. Simultaneously, regulators reined in excessive financial risk: crackdowns on internet lending and fintech (e.g. halting Ant Group's IPO in 2020) and on property speculation (strict mortgage rules). New rules tightened on shadow banking (trust companies) and local government financing vehicles (LGFVs) to contain debt buildup.
- **2023–2026:** The 2023 political reshuffle brought sweeping changes: creation of NFRA (as above) and PBoC branch reorganization [14†L67-L74] , plus announcements of “digital yuan” and further market liberalization. New macroprudential frameworks were announced – e.g. a liquidity backstop mechanism for nonbank financial institutions [44†L900-L908] . Recent plans emphasize *high-quality* growth: continuing to open capital markets to foreign capital while ensuring stability. Policies still enforce capital controls on outflows (SAFE manages stringent outbound approvals), though “two-way opening” rhetoric suggests gradual loosening (e.g. reform of QFII/RQFII, supporting panda bond issuance) [44†L918-L926] .

Foreign access schemes now include: **QFII/RQFII** (long established, recently simplified), the aforementioned Connects, and the Qualified Foreign Limited Partner (QFLP) program for private equity. China also permits limited offshore stock listings for tech firms (e.g. U.S. IPOs by Alibaba). Importantly, Hong Kong is used as a hub: many RMB products (bonds, gold, funds) have HK-licensed variants. Capital account is not yet fully open, but recent years have seen removal of aggregate QFII quotas and easing of FDIs in financial services.

4. Market Size & Trends (2020–2026)

Metric/Segment	Size (2025)	Trend/Notes
Banking assets (banks+others)	RMB 480 trn (~\$70 trn) 【55†L22-L27】	Up ~8% YoY; credit mostly extended to government and large corporates. CAR ~15.5% 【55†L22-L27】 , NPL ~1.5%. Large banks (~44% share) remain highly profitable; small regional banks face margin pressure.
Onshore bond market (outstanding)	>RMB 200 trn 【44†L808-L814】	~9% of global bond market; dominated by government/policy bonds. Recent growth as corporates issue more. Liquidity deep in interbank.
A-share market cap	RMB 110 trn 【44†L808-L814】	2nd largest equity market by cap. Turnover ~RMB 178 trn in 2023 【31†L170-L177】 (20–30% of world equity trading). Increasing foreign inflows; international index weights rising.
Number of listed companies	~5,500 (A-shares) 【44†L808-L814】	China has second-most listed firms globally. Additional 3,600 on ChiNext/STAR boards by 2023.
Interbank repo turnover	≈RMB 10–20 trn/day	Largest money-market globally. Volatile by season: surges at quarter/year ends. PBoC often uses repos to stabilize.
FX reserves	≈US\$3.2 trn (Oct 2026)	Among world's largest. After a 2015–16 fall, reserves rebuilt; relatively stable through 2023–25. Allows SAFE to manage CNY.
Insurance sector premiums	RMB 5–6 trn (annual)	2nd largest globally by premium. Assets >RMB 40 trn. Growth in life and health insurance premiums has been steady (10–15%/yr), though COVID and regulation flattened recent growth.
Wealth management/trust products	~RMB 40–50 trn (stock of WMPs)	After earlier rapid growth, regulators have capped risks. The outstanding balance of WMPs and trust loans is large but stable/declining. Merged statistics under “nonbank financial intermediation” have flat-lined after 2020.
Derivatives (futures)	~\$volume \$T (not publicly disclosed)	Active exchanges for commodities and indices. Stock index futures notional ~in the trillions annually. Interest-rate futures launched (2013) but limited volume. Financial derivatives (swaps, options) are less developed than in US/EU.
Outbound China equity funds (QDII)	~\$60 billion (dec 2025)	Limited outflow quota; slower growth.

Sources: Official regulatory data and industry reports 【55†L22-L27】 【44†L808-L814】 【31†L170-L177】 . (All figures are approximate; RMB↔USD at ~7:1.)

5. Risks and Vulnerabilities

Key risks in China's financial system include:

- **Credit risk:** Total debt (bank credit + bonds + off-balance obligations) is high (~250% of GDP). Corporate leverage (esp. SOEs) and local government financing vehicles (LGFVs) remain elevated. The property sector is a major concern: debt-laden developers (Evergrande, China Vanke, etc.) have defaulted or restructured, reflecting years of unrestrained lending to real estate. Regulators are trying to contain fallout, but contagion to banks and local governments is possible [55†L17-L24]. Household leverage (mortgages) is lower than in many countries, but uneven across cities.
- **Liquidity and market risk:** Heavy reliance on short-term funding can spark stress. In past episodes, large capital outflows (e.g. 2015–16) or equity crashes forced the PBoC to inject liquidity aggressively. With partial liberalization, portfolio flows can cause volatile capital movements. The FX market is managed, but sharp CNY swings remain a risk (though PBoC's reserves buffer this). Onshore bond markets are generally liquid for government debt, but large corporate bond refinancings (especially in property) have sometimes failed, signaling stress.
- **Shadow banking/Non-bank risk:** Nonbank channels (WMPs, trust loans, informal financing) have historically grown faster than banks. Although regulation has tightened (e.g. “net-value” rules for WMPs, caps on trust lending), risks persist especially in local government credit and small-property financing. Notably, PBoC's recent move to establish a **liquidity backstop for nonbanks** [44†L900-L908] underscores concerns about systemic nonbank funding strains.
- **Regulatory and policy risk:** China's financial policies are subject to rapid change as the Party State's priorities shift. Recent years have seen abrupt crackdowns (fintech in 2020–21, property in 2021–22) that caught markets off guard. The new NFRA centralization could create more stringent supervision (for example, more frequent inspections). For investors, unexpected regulatory changes remain a key risk factor.
- **Macroeconomic risk:** As the economy matures, China faces slowing growth and an aging population. High debt levels mean that an economic downturn (e.g. weak exports or housing bust) could stress balance sheets. However, official metrics (provision coverage >200% [55†L22-L27], high bank capital) provide buffers. Monetary policy has room to ease (interest rates still above inflation), though fiscal policy may remain constrained by debt targets.

6. Implications for Foreign Investors

China has been steadily **opening** its financial markets, but access remains controlled. Key practical routes: QFII/RQFII (for qualified institutions; quotas liberalized in 2020), Stock Connect (via HK for A-shares) [44†L828-L835], Bond Connect and CIBM (for bond market) [44†L828-L835], and Qualified Domestic Investor schemes. Offshore derivatives (Krcu/NDFs) allow currency hedging. Foreign investors should note that China's **capital controls and currency policy** limit large-scale rapid withdrawal (outflow approvals and FX repatriation rules apply).

Foreign financial institutions can now own 100% of securities firms and funds (recently), and foreign banks are similarly allowed full ownership of joint ventures (pipeline completions in 2020s). However,

regulatory filings, repatriation of profits, and data access can be cumbersome. Hedging costs for CNY can be significant (CNH vs onshore spread). Investors must also navigate China's unique market microstructure: T+1 settlement, lack of shorting in equities (only institutional margin), daily price limits, etc.

The **key takeaway** for investors is that while China offers immense market size and diversifying opportunities (e.g. a large consumer bond market, tech equity via STAR), it requires specialized access mechanisms and risk management. Diligent due diligence on counterparties and regulatory developments is essential.

7. Policy Drivers and Outlook

China's financial policy is driven by a balance of "stable growth" and risk containment. In the near term (2024–2026), authorities are likely to:

- **Advance liberalization** of onshore markets in a controlled way. We expect continued enhancements to Connect programs (perhaps more products via Stock Connect, expansion of Bond/Swap Connect) and gradual moves toward a more market-determined exchange rate (with a still-present state guidance) [44†L918-L926] . Efforts to promote RMB usage (e.g. broader use of cross-border payment platforms, new RMB liquidity facilities for foreign central banks [42†L615-L624]) will continue.
- **Promote innovation and tech financing.** The government emphasizes fintech (digital RMB, blockchain in finance) and green finance (e.g. booming green bond issuance). It will support capital markets' role in funding tech startups (via STAR/ChiNext) and green industries [44†L844-L853] . At the same time, it will tighten oversight to prevent speculative bubbles or illicit capital flows in fintech.
- **Strengthen prudential frameworks.** Expect more macroprudential tools (countercyclical buffers, liquidity requirements, concentration limits) to guard against property and local-government debt risks. NFRA will likely issue guidelines to cap leverage and enhance transparency in complex products. The National Financial Stability Committee (FSDC) will coordinate policies (with focus on asset quality and credit allocation).
- **Support the real economy.** Monetary/fiscal policy will aim to keep loan growth aligned with economic targets (around 10–12% nominal credit growth). Interest-rate cuts or RRR (reserve requirement) cuts may occur if growth slows. Policies may increasingly target direct financing (bonds, equity) over bank lending, as indicated by officials. [43†L19-L27] [44†L844-L853]

In summary, China's financial system is in a deep transformation: evolving from bank-centered to a more diversified, open system [43†L19-L27] . Investors and policymakers should note that **scale is enormous** (2nd globally in many metrics) and growth is ongoing [44†L808-L814] . The main uncertainties remain around asset bubbles (especially property), credit allocation quality, and the pace of opening-up. Continued monitoring of official targets (GDP per capita, debt levels) and regulatory pronouncements (e.g. five-year plans, party congress reports) will guide decision-making.

Sources: Official reports from Chinese regulators and central bank, BIS speeches, and recent financial industry analyses [14†L67-L74] [44†L808-L814] [55†L22-L27] [31†L170-L177] . These highlight

China's institutional setup, market sizes, and reform milestones. The data above derive from the most recent 2025–2026 publications; some figures are rounded and reliant on available public disclosures.
